

POLICYREADY • SOUTH CAROLINA

How to Open a **Group Home Business** in South Carolina

Community Training Homes (CTH-I & CTH-II) under the ID/RD Waiver

Step by Step

*From “where do I start?” to your first payment —
whether you start with a family home (CTH-I), or a staffed home (CTH-II).*

A complete, plain-language guide for real people — not lawyers or consultants.
Figures current for 2026 • Verify all details with the State of South Carolina.

Read this first

This is a plain-language roadmap built from South Carolina's actual rules, agencies, and provider standards. It is not legal, tax, or billing advice, and the details change. One recent change to know: as of April 2025, the agency formerly called DDSN is now the Office of Intellectual and Developmental Disabilities (OIDD) within the new Department of Behavioral Health and Developmental Disabilities (BHDD). You'll still see "DDSN" in a lot of documents — it's the same system. Before you act, confirm the current specifics with BHDD-OIDD, SCDHHS (Medicaid), your local DSN board, your fire authority, an attorney, an accountant, and an insurance broker. Every rule and citation here is real, but always check the current version.

What this guide covers

- Part 0 — The big picture: the waivers, CTH-I vs. CTH-II, the DSN boards, and the two ways in.
- Part 1 — Path A: a Community Training Home-I (CTH-I) in your own home (the small, family-model start).
- Part 2 — Path B: a Community Training Home-II (CTH-II) group home run by your agency.
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house needs (fire regulations, annual licensing, and the HCBS lease rule).
- Part 5 — Getting your first person placed.
- Part 6 — How you get paid: the fee schedule, and your first payment.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say "check locally": who to call and exactly what to ask (Columbia & Greenville worked out).

PART 0

The Big Picture

Opening a group home in South Carolina is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places. Here it is in one place.

CTH-I vs. CTH-II — what you're actually opening

In South Carolina, residential support for people with intellectual or related disabilities is delivered mainly through two “Community Training Home” models. A Community Training Home-I (CTH-I) is the family model: up to two people live in a support provider's own home and essentially become part of the family — the support providers are qualified, trained private citizens. A Community Training Home-II (CTH-II) is the group-home model: up to four people live in a home operated by a provider agency, under qualified, trained staff. Both are Residential Habilitation services.

The players — learn these names, you'll deal with all of them

- BHDD-OIDD — the Office of Intellectual and Developmental Disabilities (formerly DDSN), within the Department of Behavioral Health and Developmental Disabilities. It sets standards, enrolls providers, and licenses homes.
- SCDHHS — the South Carolina Department of Health and Human Services (Medicaid). It holds administrative authority over the waivers and publishes the fee schedule.
- The waivers — the Intellectual Disability/Related Disabilities (ID/RD) Waiver, the Community Supports (CS) Waiver, and the HASCI Waiver. Residential Habilitation is an ID/RD service.
- Local DSN board — your county's Disabilities and Special Needs board, the local planning and coordinating entity (and often a provider).
- Case Manager — develops and coordinates the person's plan (conflict-free case management is required).

The fork in the road — there are two ways in

- Path A — Become a CTH-I support provider. Up to two people live in your own home and become part of your family. You're a qualified, trained private citizen sponsored by a provider. Smallest, fastest, closest to a host home.
- Path B — Run CTH-II group homes as a provider agency. Up to four people live in a home your agency operates, staffed around the clock. Bigger operation, licensed, with employees. The scalable business.

PART 1 • PATH A

A Community Training Home-I (CTH-I)

Start here. It's the fastest way in — and it's the true family model.

Step 1 — Make sure it fits your life

A CTH-I means up to two adults with disabilities live in your home and become part of your family. Everyone in the household is part of the process, so this is a family decision. You'll support someone through everyday life — the good days and the hard ones.

Step 2 — Connect with a sponsoring provider or DSN board

CTH-I support providers are qualified private citizens sponsored by a BHDD-OIDD provider (often your local DSN board or a private provider agency). They recruit, train, approve, and support you, and handle the billing. Ask your local DSN board who sponsors CTH-I homes in your area, and talk to more than one.

Step 3 — Get approved, trained, and licensed

The sponsoring provider completes your approval and the required training, and your home is licensed by BHDD-OIDD's quality organization (see Part 4). CTH-I homes follow the Office of the State Fire Marshal's Foster Home Regulations — lighter than a commercial facility, because it's a family home.

Step 4 — Pass background checks

You and the adults in your home complete the required criminal background and abuse-registry checks. Your sponsoring provider walks you through it.

Step 5 — Get matched

The provider, the person's Case Manager, and the team match you with someone whose needs and personality fit your home — the match is the heart of the family model, and the person has freedom to choose.

Step 6 — Put your policies in writing

You'll keep clear documentation — medications, emergencies, incident reporting, and the rights of the person you support (including their lease/residency protections). PolicyReady's South Carolina manuals are built for exactly this: ready to customize, just add your details.

Step 7 — Get supported, and get paid

The sponsoring provider bills SC Medicaid and pays you. Because the person lives in your home, your CTH-I payments may qualify for the IRS “difficulty-of-care” exclusion (potentially non-taxable) — confirm with a tax professional. That first payment is the moment it all clicks.

PART 2 • PATH B

A Community Training Home-II (CTH-II) Group Home

More work, more money, more control. Here's the whole thing, in order.

Step 1 — Set up the business

- Form your entity (LLC or corporation) with the SC Secretary of State and get your EIN.
- Get a Type 2 (organizational) NPI (free).
- Secure your home — a CTH-II serves up to four residents in a home your agency operates.

Step 2 — Become a BHDD-OIDD provider

Contact BHDD-OIDD provider enrollment to become a qualified/contracted provider — (803) 737-4917, or write to the Intellectual Disability Division, P.O. Box 4706, Columbia, SC 29240. You'll meet the Residential Habilitation Standards and the applicable BHDD-OIDD directives and standards, and apply online.

Step 3 — Enroll with SC Medicaid (SCDHHS)

Complete South Carolina Medicaid provider enrollment through SCDHHS so you can bill for waiver services. SCDHHS holds administrative authority over the waivers and publishes the HCBS Waiver Fee Schedule (your rates).

Step 4 — License each home

Every residential setting must be licensed. BHDD-OIDD's quality organization (QIO) licenses CTH-II (and CTH-I and SLP-II) homes annually using the BHDD-OIDD Residential Licensing Standards, and licensing can involve BHDD-OIDD, DHEC, and the State Fire Marshal (see Part 4). Get the home licensed before anyone moves in.

Step 5 — Policies, staffing & serve

Put your policies and procedures in place (PolicyReady manuals), hire and train your direct-support staff, and make sure each resident has the required lease/residency agreement. Then accept referrals, deliver services, and bill SC Medicaid (Parts 5 and 6).

PART 3

Who You Actually Need (Staffing)

CTH-I (Path A): you and your household are the support. The sponsoring provider gives you the professional oversight, training, and billing, and helps arrange respite. You don't build a staff.

CTH-II agency (Path B), plan for these roles — one person can wear several hats at the start:

- Agency director / administrator — runs the agency, owns the BHDD-OIDD contract and licensing.
- Direct-support staff — the qualified, trained caregivers in your CTH-II homes, staffed to meet residents' needs.
- Registered Nurse — for health oversight and medication management; often part-time or contracted at first.
- Quality / compliance — to keep up with the Residential Licensing Standards and prepare for annual licensing reviews.
- Billing / administrative support — handles SC Medicaid billing and documentation (kept on-site at each home).

PART 4

The Home: What Your House Actually Needs

How South Carolina handles homes

Every residential setting is licensed. BHDD-OIDD's quality organization licenses CTH-I, CTH-II, and SLP-II homes annually using the Residential Licensing Standards, and reviews can involve BHDD-OIDD, DHEC, and the State Fire Marshal. A CTH-I (family model) specifically follows the State Fire Marshal's Foster Home Regulations — lighter than a commercial facility, because it's a private family home.

“Do I need fire sprinklers?” — the honest answer

For a CTH-I (up to two people in your own home), the home is held to the State Fire Marshal's Foster Home Regulations — a residential standard — so a full commercial sprinkler system generally is not required. For a CTH-II (up to four residents in a provider-operated home), fire requirements come through the annual licensing review and the State Fire Marshal, and depend on the home's size and construction. Because it's set by the fire code and the State Fire Marshal, confirm your specific home with them before you buy or renovate.

THE HOME CHECKLIST

- Annual licensing by BHDD-OIDD's quality organization (Residential Licensing Standards), covering health and safety, staff ratios, fire safety, medication management, facility size and construction, and hazardous-materials storage.
- A fire-safety review — CTH-I under the State Fire Marshal's Foster Home Regulations; CTH-II under the licensing review and State Fire Marshal.
- Working smoke and carbon-monoxide detectors, extinguishers, and clear exits with a practiced evacuation plan.
- HCBS settings rights: each resident has a lease or legally enforceable agreement, privacy in their unit (including lockable doors), choice of roommates, and the freedom to furnish and decorate.
- Documentation kept on-site at each residential location (licensing reviews check it).

Two more things people get wrong

- Capacity is defined by the model. A CTH-I serves up to two people; a CTH-II serves up to four. Plan the model to the home and the people you'll serve.
- Room and board is separate from your pay. The service rate doesn't cover the person's rent and food — those come from their own income (usually SSI). Keep the two separate.

PART 5

Getting Your First Person Placed

You can't get paid until someone is placed with you and services are authorized. Here's how that happens.

1. The person qualifies. They have a developmental disability that was apparent before age 22, meet an ICF/IID level of care, and are Medicaid-eligible. BHDD-OIDD determines eligibility; intake often starts with a local DSN board or the toll-free line (1-800-289-7012).
2. They get a waiver slot. Residential Habilitation is funded through the ID/RD Waiver. Slots are limited, so people request a slot and may wait — a real feature of the system.
3. The plan is built. A Case Manager develops the support plan, which identifies the residential model (CTH-I or CTH-II) and the person's needs.
4. The match. The person chooses providers (freedom of choice); you (or your sponsoring provider/agency) are matched based on fit and your licensed services.
5. Move-in. With the plan and a licensed home in place, the person moves in and you're delivering a billable service.

PART 6

How You Get Paid: The Fee Schedule & Your First Payment

How the rate works

Residential Habilitation (CTH-I and CTH-II) is billed to South Carolina Medicaid, and the rates are set by SCDHHS and published in the HCBS Waiver Fee Schedule. CTH-I (family model, up to two) and CTH-II (group home, up to four) have their own rates. The service is authorized on the person's plan; you bill Medicaid for the service you deliver.

What to know about the money

- Set by SCDHHS: current codes and rates are in the SCDHHS HCBS Waiver Fee Schedule ([scdhhs.gov](https://www.scdhhs.gov) → Fee Schedules) — look up Residential Habilitation for CTH-I and CTH-II. Confirm the current figure before you budget.
- CTH-I vs. CTH-II: the two models are priced separately; a CTH-II (staffed, provider-operated) carries different costs and a different rate than a CTH-I (family model).
- Room and board is separate: Medicaid pays the service, not the person's rent and food (those come from their SSI/personal income). Never bill the person for a covered service.
- Billed to SC Medicaid: for a CTH-I, the sponsoring provider files the claims; a CTH-II agency bills directly.

Your first payment

6. Confirm the service is authorized on the person's plan (the right model and level).
7. Deliver the service and keep your documentation on-site.
8. Submit the claim to SC Medicaid (the sponsoring provider does this for a CTH-I).
9. Get paid — and bill only for services actually provided.

PART 7

What It Costs & How Long It Takes

Timeline

A CTH-I (Path A) can move relatively quickly once you've connected with a sponsoring provider — approval, training, background checks, and licensing of your home. A CTH-II agency (Path B) takes longer: the business setup, becoming a BHDD-OIDD provider, SC Medicaid enrollment, and licensing each home. Plan for several months end to end, and confirm current timelines with BHDD-OIDD and your local DSN board.

Startup line items

CTH-I costs are modest — mainly your time, background checks, training, and getting your home ready for the Foster Home fire review and licensing. A CTH-II agency adds business formation, insurance, staff payroll, the licensing of each home, and your policies and procedures. Confirm current fees with BHDD-OIDD and SCDHHS.

PART 8

When They Say “check Locally”: Who to Call & What to Ask

In South Carolina, BHDD-OIDD and your local DSN board are the center of gravity, with the State Fire Marshal and SCDHHS close behind. Here's who to call and exactly what to ask.

The statewide offices (same for everyone)

For...	Contact
Becoming a provider	BHDD-OIDD provider enrollment — (803) 737-4917 · ID Division, P.O. Box 4706, Columbia, SC 29240
Applying / eligibility / intake	BHDD-OIDD — 1-800-289-7012 · or your local DSN board
Adult supports	SCDDSN/BHDD-OIDD Adult Supports Office — (803) 898-9671
Rates (fee schedule)	SCDHHS — scdhhs.gov → Fee Schedules (HCBS Waiver Fee Schedule)
Home licensing & fire	BHDD-OIDD Quality/Licensing · State Fire Marshal (Foster Home Regulations for CTH-I)

The local calls — and what to ask on each one

① YOUR LOCAL DSN BOARD / A SPONSORING PROVIDER — YOUR MOST IMPORTANT CALLS

- “I want to open a CTH-I in my home / a CTH-II group home. Who sponsors CTH-I homes here, and what's the current need?”
- (To a sponsor) “How do you approve, train, and support CTH-I providers, how do you match, and how and when do you pay?”

② BHDD-OIDD LICENSING — THE ANNUAL REVIEW

- “What do the Residential Licensing Standards check for a CTH-I / CTH-II, and can I get the standards to self-assess before I open?”

③ STATE FIRE MARSHAL / LOCAL FIRE AUTHORITY — THE FIRE REVIEW

- “I'm opening a CTH-I (foster-home model) / a CTH-II for up to four residents. What fire-safety requirements apply, and do I need sprinklers?”

Fully worked examples — two of South Carolina's biggest markets

Most people start in or near one of these. South Carolina has a local DSN board in every county — find yours by where you live.

COLUMBIA (RICHLAND / LEXINGTON)

- Local DSN board: Richland/Lexington Disabilities and Special Needs Board (a statewide-approved provider serving the Columbia metro).
- State agency: BHDD-OIDD headquarters is in Columbia; Adult Supports Office (803) 898-9671; provider enrollment (803) 737-4917.
- Home & fire: BHDD-OIDD Licensing for the annual review; State Fire Marshal / City of Columbia (or Richland/Lexington County) fire authority for the fire review.
- The local quirk here: Columbia is the capital and a busy market — the Richland/Lexington board and several private providers sponsor CTH-I homes.

GREENVILLE (UPSTATE)

- Local DSN board: Greenville County Disabilities and Special Needs Board — P.O. Box 17467, Greenville, SC 29606.

- State agency: same statewide BHDD-OIDD process; provider enrollment (803) 737-4917.
- Home & fire: BHDD-OIDD Licensing; State Fire Marshal / City of Greenville (or Greenville County) fire authority.
- The local quirk here: Greenville is South Carolina's largest metro — strong demand, and multiple Upstate providers sponsor CTH-I homes.

How to find your own county's board & offices

10. Find your local DSN board (there's one for every county) via ddsn.sc.gov → provider directory, or call 1-800-289-7012.
11. Start the provider process with BHDD-OIDD provider enrollment at (803) 737-4917.
12. For fire safety, contact the State Fire Marshal or your city/county fire authority; for licensing, work with BHDD-OIDD Quality.

CORE RULES & REFERENCES

- S.C. Code 44-20-10 et seq. — the DDSN/BHDD-OIDD enabling law; Act No. 3 of 2025 (creation of BHDD).
- BHDD-OIDD Residential Habilitation Standards and Residential Licensing Standards (CTH-I, CTH-II, SLP-II).
- State Fire Marshal Foster Home Regulations (CTH-I); BHDD-OIDD directives and standards.
- SCDHHS HCBS Waiver Fee Schedule — Residential Habilitation codes and current rates; ID/RD Waiver manual.

You can do this.

Opening a group home in South Carolina is real work — but it's a real, walkable path, and people across the state do it every day, giving someone a real home in the community. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start with a family model CTH-I or a staffed CTH-II, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the State as you go, and lean on your local DSN board and BHDD-OIDD — that's what they're there for.

Prepared for PolicyReady.org. Grounded in South Carolina BHDD-OIDD (formerly DDSN) and SCDHHS rules and provider standards as of 2026. This guide is general information, not legal, tax, or billing advice. Requirements, rates, and codes change — always verify current details with the State of South Carolina before you act.